

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-22

GITI TIRE (USA) LTD.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT’S MOTION FOR JUDGMENT ON THE PLEADINGS

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel, pursuant to Fed. R. Civ. P. 12(c), and files this, its Motion for Judgment on the Pleadings and in support thereof states as follows:

I. INTRODUCTION AND PROCEDURAL BACKGROUND.

On April 5, 2024 Respondent Flexport International LLC (hereinafter “Flexport”), filed suit in in the United States District Court for the Northern District of California¹ to recover nearly \$13 million in unpaid detention charges owed to it by Complainant, Giti Tire (USA) Ltd. (hereinafter “Giti”).

Six weeks later, on May 16, 2024, Giti filed a verified complaint (“Complaint”) with the Commission against Flexport, asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).

The Complaint did not contain any counts, but merely combined its factual allegations and damages together in an attempted effort to vaguely claim causes of action under 46 U.S.C. § 41104(a)(15); 46 U.S.C. § 41104(a)(14); 46 U.S.C. § 41104(d) and 46 U.S.C. § 41102(c).

¹ *Flexport International, LLC v. Giti Tire (USA), Ltd.*, Case No. 5:24-cv-00722-JGB-SP

Flexport moved to dismiss the Complaint on the following grounds:

1. Giti failed to plead sufficient facts – or any facts at all – to support its claims.
2. Giti failed to allege any practice or procedure of Flexport which would constitute a violation of the Shipping Act.
3. Giti failed to identify any shipment, bill of lading, invoice or charge for which its claims were based.
4. Giti's claims were time-barred.
5. Reparations were not available for alleged invoice violations.

On October 27, 2024, the Commission entered an Order deferring ruling on the motion to dismiss. [Doc. 12]. In the Order, the Commission specifically pointed out the multiple deficiencies in the Complaint, essentially reiterating, and agreeing with all of Flexport's contentions with respect to same.

Thereafter, on September 9, 2024, Giti filed its Amended Complaint, which included four (4) spreadsheets attached as exhibits thereto and referenced therein. [Doc. 13]. On September 18, 2024, the Commission denied the motion to dismiss based upon the allegations in the amended complaint and the data contained in the exhibits thereto, which was verified by Giti and signed by its attorneys. [Doc. 13].

The allegations contained in the Amended Complaint, however, are directly undermined by the exhibits relied upon. Likewise, the data included in the exhibits in fact negates Giti's claims. On October 2, 2024, Flexport filed its Answer² which responded in detail to each allegation and claim. Flexport now moves for judgment on the pleadings based upon the information contained

² The Order deferring on the motion to dismiss stated that no further submissions would be accepted and specifically ordered Flexport to file an Answer. In turn, Flexport has answered the complaint

in the Amended Complaint, the Answer, the exhibits attached to each and publicly available data. Flexport submits to this honorable tribunal that based upon the four corners of the Amended Complaint along with all documents incorporated by reference that Flexport is entitled to judgment as a matter of law and this matter should be dismissed with prejudice.

II. FACTUAL BACKGROUND.

As Giti alleges, between 2022 and 2023, Flexport in its capacity as a non-vessel operating common carrier (“NVOCC”) arranged for the transportation of a substantial number of containers into the ports of Long Beach, Los Angeles and Savannah. [Amended Complaint, Doc. 13 at ¶ 10 – 12]. For each shipment, Flexport issued house bills of lading and negotiated rate arrangements (“NRAs”, which incorporated the terms of Flexport’s publicly-available Rules Tariff which set forth the terms of the shipments and the rates to be incurred, including detention. [Amended Complaint, Doc. 13 at ¶ 12; Answer, Doc. 15 at ¶ 12].

After the containers arrived, they were transported to Giti’s facility. Giti was aware of the applicable free time as set forth in the NRAs and Flexport’s Rules Tariff. Moreover, Flexport was in continual communication with Giti with respect to the containers and urged Giti to return same so as not to increase the charges. As reflected in Giti’s own documents attached to its Amended Complaint, however, Giti specifically chose to keep the containers for weeks and in many, many instances, months after the expiration of free time. To be clear, as Giti’s own admissions, the total number of days that Giti kept these containers after the expiration of free time during this 2-year period was **17,709 days**. To place this into perspective, this is the equivalent of **48 ½ years**.

This is the amount of time that Giti chose to keep these containers out of the supply chain. Giti was properly billed for same and then inexplicably refused to pay and now asks the Commission to award it for this admitted conduct.

III. LEGAL STANDARD.

Although the FMC Rules do not expressly provide for a motion for judgment on the pleadings, it is well-established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12.

“Judgment on the pleadings is appropriate where material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings.” *Sellers v. M.C. Floor Crafters, Inc.*, 842 F.2d 639, 642 (2d Cir. 1988), citing *National Fidelity Life Ins. Co. v. Karaganis*, 811 F.2d 357, 358 (7th Cir. 1987). “Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions ‘is essentially the same.’” *Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 115 (FMC Feb. 8, 2023), citing *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019).

Although a fact finder “generally may not rely on facts ‘outside’ the pleadings in deciding [either] motion³,...it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record.” *Ovchinnikov v. Hitrinov* at 115-116 (quoting *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (internal citations omitted).

³ Of course, a motion for summary judgment under Federal Rule of Civil Procedure 56 may include reference to evidence outside of the pleading from sources such as declarations, extrinsic documents and testimony. In this instance, judgment on the pleadings is appropriate given the evidence submitted by Giti in its purported corrected pleading as per the ruling of the Commission. Presumably Giti will argue that the relief sought by Flexport herein is premature and would be subject to discovery. In light of the admissions in the pleadings, however, Flexport submits that there is more than sufficient information before the Commission for it to make a ruling.

IV. DISCUSSION.

Giti asserts four (4) claims and attaches an exhibit to the Amended Complaint to support such claims:

a. Giti's Claim for Deficient Invoicing under 46 U.S.C. §41104(d)(2).

First, Giti alleges that Flexport violated the invoicing requirements of the Ocean Shipping Reform Act of 2022 ("OSRA"). Specifically, Giti alleges that Flexport's invoices failed to include the 13 listed data elements as set forth in 46 U.S.C. §41104(d)(2). [Doc. 13 at ¶ 19]. In support, Giti attached its Exhibit "A" to the Amended Complaint [hereinafter "Giti Exhibit "A"], which lists each of the invoices issued and contains columns in which Giti indicates whether the required information was contained in the invoice. [Doc. 13 at ¶ 20 and Giti Exhibit "A"].

Giti goes on to falsely allege that Flexport issued a single "OSRA Addendum" which "purported to provide the missing data required by the OSRA to be included on invoices." [ECF 13 at ¶ 22].

Giti then argues that the OSRA Addendum was insufficient to cure the deficiencies because the OSRA Addendum "is not a complete invoice". [Doc. 13 at ¶ 23].

Importantly, Giti is not alleging that the OSRA Addendum failed to provide the missing information. Rather, Giti merely alleges that "The OSRA Addendum is not a stand-alone invoice and therefore does not cure the defects in the actual invoices issued by Flexport." Giti then concludes, without legal support that "it is "entitled to a single invoice". [Doc. 13 at ¶ 23].

As set forth in the Answer, Giti's position is wholly without merit for the following reasons:

First, the Commission has specifically resolved the issue as to whether the requisite information can be contained in extraneous document, such as an attachment, addendum or exhibit:

E. § 541.5 Failure To Include Required Information

1. Invoice Attachments

Issue: Four commenters requested clarification whether a billing party may provide the required data elements as an attachment, addendum, additional pages, etc. to their invoice, for reasons of convenience or necessity because of the invoice's length.

FMC response: The required information may be included as an attachment to the invoice, as the statute simply requires that invoices “include” this information. In addition, § 541.6 states that an invoice must “contain” that information. As such, it is the Commission's position that this information may be included as an attachment, or otherwise incorporated.

89 Fed. Register 14330, 14341

Again – Giti does not allege that the OSRA Addendum failed to contain the allegedly missing information. The referenced OSRA Addendum is attached to the Answer as Flexport’s Exhibit “B”. As can be clearly seen, the OSRA Addendum identifies each invoice to which it relates, and contains all of the information missing therefrom, including the requisite statements of compliance. Giti’s position is thus wholly without merit and Flexport is entitled to judgment as a matter of law.

Second, Giti’s contention that Flexport issued only a single OSRA Addendum is misleading and outright false. In fact, Flexport issued 649 addenda, all of which were included with their respective invoices. [Answer, Doc. 15 at ¶ 22 and 23]. Giti attempts to mislead the Commission by its affirmative statement that only a single addendum was issued and failing to disclose the 649 other addenda which were included with their respective invoices. A sampling of three such invoices and the addenda included therewith is attached to the Answer as Flexport’s Exhibit “C”. As can be clearly seen, the invoices and addenda contain all of the required information. Giti’s position is devoid of legal and factual support and as such Flexport is entitled to judgment as a matter of law.

Third, for 154 invoices identified in Giti Exhibit “A”, Giti itself acknowledges that all of the requisite information was provided in the subject invoice.

In its Answer, Flexport attached the same spreadsheet as Giti and added column “U” which contains Flexport’s responses to each line item. [Doc. 15 at ¶ 19 and Flexport Exhibit “A”]. (hereinafter referred to as “Flexport Exhibit “A”).

Flexport Exhibit “A” outlines in detail each of the invoices and how same complied with OSRA. For ease of reference, Flexport color-coded each of the entries to correspond to Flexport’s Response. There are a total of 1,628 invoices listed in the spreadsheet, which can be identified as follows:

Blue: 154 invoices for which all of the required data elements are present – as set forth in Giti Exhibit “A”.

Green: 825 invoices included in the OSRA Addendum, as referenced in the Amended Complaint and attached to the Answer as Flexport Exhibit “B”.

White: 649 invoices for which an individual OSRA addendum was included along with the invoice, which contained any and all data elements required by OSRA which were not contained in the invoice.

It is further noted that Giti’s Exhibit “A” includes columns “L” and “M” which are labeled “The start date of charged time” and “The end date of charged time”, respectively. However, neither of these are informational components required by 46 U.S.C. § 41104(d)(2). Yet, Giti presents same to show that the data was not included.

As such, as can be seen from the pleadings and the exhibits attached thereto, Giti’s allegations that the 1,628 invoices sued upon had information missing is disingenuous and misleading.

Finally, Giti alleges that, “[in addition to other penalties, Flexport’s issuance of invoices in violation of 46 U.S.C. § 41104(a)(15) triggers 46 U.S.C. § 41104(f), titled “Elimination of charge obligation,” which provides that the “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” See also 46 C.F.R. § 541.5.” [Amended Complaint, ECF 13 at ¶ 25].

Giti is incorrect and ignores the Commission’s explanation that a deficient invoice does not erase the underlying debt of the invoiced party, but instead only relieves it (temporarily) of the obligation to pay that specific, defective invoice. As the Commission explained:

While billing parties have an obligation under 46 U.S.C. § 41104(d)(2) to issue accurate invoices, issuing an invoice that does not comply with OSRA 2022’s requirements does not permanently eliminate the billed party’s obligation to pay those charges. In particular, 46 U.S.C. § 41104(f) cancels the obligation to pay an invoice that does not conform to OSRA but does not prevent the carrier from reissuing the charges on an invoice/bill that does meet the statutory requirements. The correctly billed party has an obligation to pay charges billed via a compliant invoice,”

89 Fed. Reg. 14330, 14349 (Feb. 26, 2024).

Giti’s position is thus wholly without merit and Flexport is entitled to judgment as a matter of law as to Count I. [ECF 13 at ¶¶ 27 – 28].

b. Unjust and Unreasonable Practices – Weekend and Holiday Detention and Demurrage.

Next, Giti claims that between February 10, 2022 and December 1, 2022, Flexport issued hundreds of invoices containing detention charges for holiday and weekend days.⁴ [Doc. 13 at ¶

⁴ Giti also makes claims regarding demurrage. However, Giti is estopped from making any claims against Flexport relating to demurrage charges. That is, in the action filed by Flexport in the District Court in California, Giti specifically represented to the Court that the invoices for which Flexport brought suit were exactly the same as the

27 – 28]. In support, Giti attached its Exhibit “B” to the Amended Complaint [hereinafter “Giti Exhibit “B”], which lists each of the invoices issued, and, in pertinent part, the date the container was made available, the free time, the total number of days billed and the number of days billed excluding weekends and holidays. [Doc. 13 at ¶ 30 and Giti Exhibit “B” attached thereto.].

Giti’s own spreadsheet clearly illustrates the utter lack of any effort by Giti to return the containers before the detention charges accrued. That is, Giti’s Exhibit “B” reflects an admission that Giti held on to hundreds of containers for weeks and months before returning same.

As can be seen, Giti seeks recovery for charges incurred for all intervening weekends and holidays – regardless of when the free time expired. However, the charges Flexport seeks for detention are for the time that Giti had the containers at its facility. Moreover, Giti is not arguing, for example, that for any shipment that the free time expired on a Friday and it was unable to return the container until Monday and thus, should not have been billed for the weekend. Rather, Giti’s baseless theory is that, having kept the container for weeks or months past the end of free time, it should not be billed for any of the weekends or holidays during that time period. Again, Giti’s own pleading reflect the admission that it kept hold of these containers for **17,709 days** after the expiration of free time.

As a prime example, one need only look at Row 4 of the spreadsheet. For this container, Giti was allotted 5 days of free time. However, Giti did not return the container for **112 days** - nearly **4 months**. Yet, Giti’s only support for its false contention that Flexport violated the Shipping

subject of Giti’s instant claims before the Commission: “Giti asserts that Flexport’s charges are in violation of the Shipping Act and Giti has initiated a proceeding with the FMC in relation to the same invoiced charges that are the subject of Flexport’s suit”; “The invoices and charges at issue in Giti’s FMC Complaint are the same invoices and charges that are the subject of Flexport’s instant lawsuit. There is complete overlap between the charges sought to be collected by Flexport in this suit and the charges sought to be invalidated by Giti in the FMC proceeding. *Flexport International v. Giti Tire (USA), Ltd.*, 24-cv-00722 (N.D. Cal. May 17, 2024) ECF # 14-1 at pp 2 and 3. However, Flexport only seeks recovery for unpaid detention charges, not demurrage. Giti, having successfully obtained relief from the District Court based upon this position is estopped from now claiming relief for a contrary position. *New Hampshire v. Maine*, 532 U.S. 742, 750-51, 121 S.Ct. 1808, 1815 (2001).

Act is because it charged Giti for the intervening holidays and weekends when the port was presumably closed and therefore that it should not have to pay for 40 of those intervening days Giti's spreadsheet is replete with such examples.

The incentive principle dictated by the Commission is designed for just that – to incentivize a shipper such as Giti to return the containers. In the example above (and for all of the shipments at issue here), Giti had the containers, knew when they had to be returned so as not to incur detention, then kept same for several additional weeks or months – 48 ½ years in total – and now claims that it should not have to pay for same.

Undaunted, Giti even alleges the charges did not incentivize the movement of containers or function to promote cargo fluidity! [Doc. 13 at ¶ 28].

This is both illogical and contrary to the law. *See Evergreen Shipping Agency (America) Corp. v. Federal Maritime Commission*, 106 F.4th 1113 (D.C. Cir. 2024). In *Evergreen*, the subject container had been picked up on April 28, 2020 and returned on May 26, 2020 – 7 days after the expiration of the free time allotted. *Id.* at 1115. The carrier had invoiced the claimant therein a total of \$1,490 in detention charges, which included \$510 charged for May 23 through May 25, 2020. *Id.* at 1116. Claimant therein argued that this charge was unreasonable because it could not have returned the empty container when the port was closed because the port was closed for Memorial Day weekend. *Id.*

The D.C. Circuit Court of Appeals rejected this argument, holding “that the ‘incentive principle’ in the interpretive rule did not displace the “reasonableness” standard in the Shipping Act.” *Id.* (quoting *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, No. 1966(I), 2022 WL 18068977 at * 10 (Dec. 29, 2022)). The Circuit Court of Appeals went on, holding that the “detention charges were consistent with the incentive principle: [claimant had notice of the

weekend closure before it picked up the container...; it had “a reasonable amount of time” in which to return the equipment; and “there were no issues that were beyond or outside of the control of [the shipper] justifying the denial of detention penalties....In essence, [the claimant] knew when the Port was closed and failed to timely re-deliver [Evergreen's equipment] before the stipulated time.” *Id.* at * 1116 - 1117 (quoting *TCW, Inc.* 2022 WL 18068977 at * 11 – 12).

In other words, the claimant had every incentive to return the container before the holiday weekend and, thus the detention charges were reasonable.

Here, Giti’s own Exhibit clearly establish that it was fully aware of the detention charges and when the free time would expire. Yet, Giti readily confesses by way of its own exhibits that it kept the containers in its possession for weeks and months after the expiration of free time. Having kept the containers for weeks and months after the expiration of free time, Giti’s decision not to return same prior to the weekend or holiday and thereby incur detention for such time was its own free choice and Giti cannot now be heard to complain of same.

Incredibly, Giti’s position is that, having placed uncontroverted evidence before the Commission that it kept hundreds of containers – thereby keeping them out of the supply chain and inhibiting freight fluidity – that it should be rewarded for its actions by not being charged for any of the weekends and holidays during that entire time period.

The Commission has dictated the use of the “incentive principle” in its interpretation of its rules regarding detention charges. That is, a practice regarding the imposition of same is “reasonable” if it incentivizes a shipper to retrieve and return the containers in order to keep the shipping industry running smoothly and avoid backlogs and shortages at the ports.

Thus, a shipper should endeavor to retrieve its containers as expeditiously as possible to avoid the imposition of such charges. Giti made no such effort and now seeks to profit from its intentional acts as it presents patently false claims herein.

Notably, at no point does Giti make any allegation that any act or omission of Flexport contributed to the imposition of the charges for weekends and holidays. Giti's only allegation as to any violation of the Shipping Act is the mere imposition of the charges.

As such, for these claims, there is absolutely no legal nor logical basis for Giti's position, and Flexport is entitled to judgment as a matter of law. Judgment on the pleadings is applicable because the uncontroverted facts before the Commission as submitted by Giti directly undermine its claims.

Finally, Giti is not entitled to reparations of any kind – for demurrage or detention – since it does not allege any injury at all resulting from any violation. That is – the Amended Complaint is devoid of any allegation that Giti in fact paid these charges. As such, Giti cannot maintain this action. *See* 46 U.S.C. § 41305 (defining “actual injury” as loss of interest at commercial rates; providing for payment of reparations for “actual injury” caused by a violation). *See also TCW, Inc.* 2022 WL 18068977 at * 7 (“parties suing for alleged overcharges can only recover reparations if they actually paid the carrier....”) (quoting *Gov't. of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902, 2002 FMC LEXIS 16, *4 (ALJ 2002), *admin. final*, 2002 FMC LEXIS 25 (FMC 2002). *California Cartage v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985) (“parties who have not actually paid contested charges to claim them as reparations[.]”); *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934) (eligibility to seek reparations for limited to the entity that paid the rate to the carrier and injury occurs when the payment is made). *See Bloomer of California, Inc. v. Ariel Maritime Grp., Inc.*, 1992 WL 231210 at * 1 (FMC, Mar.

6, 1992) (“actual injury will not have been incurred where a complainant has not paid the unlawful charges”).

Finally, Giti alleges that Flexport issued invoices which did not contain sufficient information to enable Giti to determine whether the dates charged include weekends and holidays. [ECF 13 at ¶¶ 33 - 34]. Giti also attaches Exhibit “C” which purports to identify such invoices. [ECF 13 at ¶ 34 and Exhibit “C” attached thereto]. It is noted that all of the invoices listed are dated prior to the passage of OSRA 2022. It is also noted that the above arguments would apply to these vague, unsupported charges as well: there is no legal or logical support for the claim and Giti again fails to allege that it actually paid the charges.

Based upon the foregoing, Flexport is entitled to judgment as a matter of law on Count II.

c. Unjust and Unreasonable Practices – Duplicate Charges.

Giti’s third count alleges that Flexport issued invoices for detention and demurrage for charges for which Giti had already been billed by the motor carrier handling the containers. [ECF 13 at ¶ 35]. Giti attaches Exhibit “D” to its complaint to reflect the charges paid to the motor carriers and amount billed by Flexport for each identified container. [ECF 13 at ¶ 41 and Exhibit “D” attached thereto].

The allegations are confusing, unsubstantiated and do not frame a cognizable claim under the Shipping Act.

First, Giti makes reference to “motor carriers” without any indication as to their identity.

Second, for each inland movement, Flexport retained the motor carrier and paid same. Giti was well aware that it was responsible to pay Flexport for such services and, if it was somehow billed by the motor carrier, Giti should have advised Flexport of same. If Giti paid the motor carriers then it should pursue recovery against said motor carriers.

But what is really confusing about this allegation is that it completely contradicts Giti's allegations as set forth in its Initial Complaint as false :

22. In multiple instances, Flexport also issued invoices **to Giti** for detention and demurrage charges **that Flexport already had invoiced to other parties**, such as a motor carrier, involved in the shipment. Issuance of these duplicative invoices was done by Flexport in violation of the Shipping Act.

34. Flexport has issued Giti invoices with over \$66,675 in duplicate charges that were also invoiced to a motor carrier or other party in addition to Giti. The total sum of duplicate charges likely is significantly higher, but Flexport has refused to provide any of the supporting documentation underlying its invoices to Giti. That documentation likely will reveal additional instances in which Flexport issued invoices for the same charges to multiple parties.

[Complaint, Doc. 1].

That is, Giti initially alleged, under oath, that these charges were billed by Flexport to other parties, such as motor carriers.

Now, Giti has changed its mind, again under oath:

35. In multiple instances, Flexport issued invoices to Giti for detention and demurrage charges for containers for which Giti already had been billed – and had paid – per diem charges **by the motor carrier** that handled the containers. This resulted in unjust duplicate billing of Giti for demurrage and detention charges in violation of the requirements of 46 U.S.C. §41102(c).

36. For at least 34 of Giti's containers, the VOCC invoiced the motor carrier per diem charges for containers returned after expiration of the applicable free days. Those per diem charges were passed through **by motor carrier to Giti on its invoices to Giti**.

[Doc. 13 at ¶¶ 35 and 36].

So, which is it – did Flexport or the unnamed VOCC bill the motor carriers? Did the motor carriers actually bill Giti? If so, why didn't Giti say so in its initial complaint. In short, Giti is estopped from now changing the underlying facts of its claim. *See New Hampshire v. Maine*, 532 U.S. 742, 750-51, 121 S.Ct. 1808, 1815 (2001) (citing *United States v. Hook*, 195 F.3d 299, 306

(7th Cir. 1999); *In re Coastal Plains, Inc.*, 179 F.3d 197, 206 (5th Cir. 1999); *Hossaini v. Western Mo. Medical Center*, 140 F.3d 1140, 1143 (8th Cir. 1998); *Maharaj v. Bankamerica Corp.*, 128 F.3d 94, 98 (2nd Cir. 1997); *United States v. C.I.T. Constr. Inc.*, 944 F.2d 253, 259 (5th Cir. 1991)).

In any event, Giti goes on to allege that this unnamed VOCC issued invoices directly to the motor carriers, which passed them on to Giti and that the rates applied by Flexport were greater than the unnamed VOCC's and therefore this violated the Shipping Act. [Doc. 13 at ¶¶ 36 – 38].

The allegations are unsubstantiated, in contradiction to Giti's previously asserted facts in support of its claims, and do not plead any plausible claim under the Shipping Act.

For the foregoing reasons, Flexport is entitled to judgment as a matter of law on Count III.

d. Unjust and Unreasonable Practices – Excessive Accessorial Charges.

Lastly, Giti presents a completely baseless claim that “Flexport's charges in many instances were four or five times the market rate for equivalent services”. [Doc. 13 at ¶ 43]. Giti provides absolutely no factual support for this contention other than the claim that the charges assessed by Flexport “were 460% more than those invoices by the [unnamed] VOCC”. [Doc. 13 at ¶ 44]. Giti also alleges that “a review of invoices from other providers show that Flexport's assessed charges far exceed market rates for storage, detention, and demurrage fees.” [Doc. 13 at ¶ 44].

Giti's claim fails for several reasons.

First, the required factual support is not provided whatsoever. Giti does not name either the VOCC or the “other providers” nor does Giti provide any indication as to what these entities charged and when they were charged.

Second, six paragraphs earlier in its pleading, Giti alleged that the unnamed VOCC's detention rate was “\$125 or \$150, [while] Flexport's rates ranged from \$175 to \$265 per day.”

[Doc. 13 at ¶ 38]. This discrepancy, if it is even accurate, is nowhere close to the 460% increase now claimed by Giti in paragraph 44.

Third, Giti's claim alleges "[e]xcessive and unreasonable **demurrage, detention, storage, and other accessorial charges** invoiced by Flexport in violation of the Shipping Act total \$7,204,243." [Doc. 13 at ¶ 45]. Yet, nowhere in the Amended Complaint is any reference to any storage or other accessorial charges. None of the spreadsheets attached to the complaint contain any data in support of this claim.⁵ As such, judgment is warranted on this basis alone.

Further, despite this utter lack of any factual support, Giti's claims are completely undermined by publicly-available records, which are properly considered by the Commission. As the Commission is of course aware, NVOCCs are required to publish their rules tariffs and make same available to the public free of charge.

A review of the Rules Tariffs of the three of the largest NVOCCs reveals the following detention rates that were in place in January 2020.

Danmar Lines AG d/b/a DHL Global Forwarding⁶

Detention rates:	Demurrage
1 – 3 days: \$225	1 – 3 days: \$310
4 – 6 days: \$260	4 – 6 days: \$395
7+ days: \$320	7+ days: \$465

⁵ Respectfully, the Amended Complaint did not contain sufficient information to support the claim, as ordered by the Commission in its ruling deferring on the motion to dismiss. As such, Giti was afforded the opportunity to present sufficient factual support and has failed to do so.

⁶ <https://www.dhl.com/content/dam/dhl/local/us/dhl-global-forwarding/documents/pdf/us-dgf-danzas-nra-rules-tariff.pdf>

DB Schenker (Schenker Ocean Ltd.)⁷

Detention rates:		Demurrage	
1 – 4 days:	\$185	1 – 4 days:	\$300
5 – 7 days:	\$210	5 – 9 days:	\$380
8+ days:	\$260	10+ days:	\$440

Blue Anchor America Line d/b/a Kuehne + Nagel Inc.⁸

Detention rates:		Demurrage	
1 – 4 days:	\$195	1 – 4 days:	\$275
5 – 7 days:	\$225	5 – 9 days:	\$325
8+ days:	\$260	10+ days:	\$375

As per the Amended Complaint, Giti alleges that Flexport’s detention rates ranged between \$175 to \$265 per day.” [ECF 13 at ¶ 38]. This is clearly in line with, or lower than the “market rate”.

According to Giti’s Exhibit “A”, Flexport’s rates for demurrage were:

1 – 4 days:	\$285
5 – 7 days:	\$325
8 – 10 days:	\$375

These rates are also in line with, or lower than, the “market rates”. These publicly-disclosed facts are raised herein to point out that, like all of Giti’s allegations, the vague allegations to “the market rate” as reflected in the rates of “other providers” is not only baseless, but an outright misrepresentation.

⁷ <https://www.dbschenker.com/resource/blob/768202/e23d6ec726722cea5ab6b1e5a6de31e3/db-schenker-announcement-february-1st-2022-demurrage-and-detention-us-uk-en--data.pdf>

⁸ <https://blue-anchor-america-line.com/en/archive/>

It is also pointed out that there is an absolute dearth of cases of shippers challenging the rates charged by NVOCCs as “excessive”. The reason is simple – shippers enter into agreements with carriers and are well aware of what the charges would be. The difference here is that Giti just does not want to pay its debts and has done everything it can to delay or block same.

The issues raised herein can be ruled upon based upon the pleadings, the exhibits attached thereto, and the publicly-available information. Therefore, facts are not in dispute and no discovery is needed for the Commission to make a ruling on the issue.

For example, with respect to weekends and holidays, the Commission can just rule whether detention charges billed for weekends and holidays when a shipper holds onto a container for weeks or months after the expiration of free time. The D.C. Circuit Court of Appeals has already clearly expressed how it will rule on this issue. As such, this issue can be decided now and Flexport would be entitled to, at minimum, partial judgment on the pleadings.

The same is true for the “excess charges”. No discovery needs to be undertaken with regard to whether the charges for detention and demurrage are excessive. The Commission has conducted extensive audits of both VOCCs and NVOCCs, conducted multiple fact-findings and investigations. The Commission can therefore readily determine whether the above-referenced rates are “excessive”.

V. CONCLUSION.

The record before the Commission is clear. This is an appropriate situation for a judgment on the pleadings given the admissions as per the exhibits advanced by Giti. It becomes clear why Giti avoided pleading requisite factual support on its first attempt to frame causes of action in that its own evidence belies and/or negates the claims it seeks to advance. Based on the foregoing,

Flexport respectfully requests that the Commission enter judgment on the pleadings dismissing the Amended Complaint.

Dated: October 3, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.
Andrew Spector, Esq.
3250 Mary Street, Suite 405
Miami, FL 33133
Tel: (305) 537-2000
Fax: (305) 537-2001
robert.borak@spectorrubin.com
andrew.spector@spectorrubin.com
***Counsel for Respondent,
Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on October 3, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.